

Mindteck Canada, Inc.

Financial Statements

March 31, 2022

(Unaudited - see Compilation Engagement Report)

Mindteck Canada, Inc.

March 31, 2022

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COMPILATION ENGAGEMENT REPORT

To Management of Mindteck Canada Inc.,

On the basis of information provided by company's management, we have compiled the non-consolidated balance sheet of Mindteck Canada Inc., as at March 31, 2022 and the non-consolidated statements of income, retained earnings and cash flows for the year then ended, and Notes, which describes the basis of accounting applied in the preparation of the compiled financial information and other explanatory information ("financial information").

Management is responsible for the accompanying financial information, including the accuracy and completeness of the underlying information used to compile it and the selection of the basis of accounting.

We performed this engagement in accordance with Canadian Standard on Related Services (CSRS) 4200, Compilation Engagements, which requires us to comply with relevant ethical requirements. Our responsibility is to assist management in the preparation of the financial information.

We did not perform an audit engagement or a review engagement, nor were we required to perform procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an audit opinion or a review conclusion, or provide any form of assurance on the financial information. Prior to compiling the company's financial statements, we prepared journal entries that effect these financial statements.

Readers are cautioned that these statements may not be appropriate for their purposes.

A handwritten signature in black ink, appearing to read 'Harpreet', with a horizontal line extending to the right.

Harpreet Dhawan CPA
HDCPA Professional Corporation
Chartered Accountants
Authorized to practice public accounting by
Chartered Professional Accountants of Ontario

Mississauga, ON
July 4, 2022

Mindteck Canada, Inc.

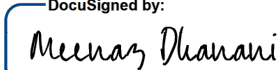
Balance Sheet

For the Year Ended March 31, 2022

(Unaudited – see Compilation Engagement Report)

	Note	2022	2021
Assets			
Current Assets			
Cash and cash equivalents		\$ 397,642	\$ 271,343
Accounts receivable, net of allowances		185,822	298,138
HST Receivable		2,630	6,707
Unbilled revenue	2	161,409	70,693
Total Current Assets		747,503	646,881
Total Assets		\$ 747,503	\$ 646,881
Liabilities and Shareholders' Equity			
Current Liabilities			
Accounts payable and accrued liabilities	3	\$ 237,577	\$ 272,085
Taxes payable		24,735	8,020
Due to related parties		37,530	50,103
Total Current Liabilities		299,842	330,208
Equity			
Share capital		100	100
Additional Paid-in-Capital		214,019	214,019
Retained earnings - ending		233,542	102,554
Total Equity		447,661	316,673
Total Liabilities and Equity		\$ 747,503	\$ 646,881

Approved on Behalf of the Board:

DocuSigned by:

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The accompanying notes are an integral part of these financial statements.

Mindteck Canada, Inc.

Statement of Income

For the Year Ended March 31, 2022

(Unaudited – see Compilation Engagement Report)

	2022	2021
Revenue		
Services	\$ 1,961,620	\$ 1,765,144
Cost of sales		
Trades and subcontracts	1,596,287	1,502,406
Gross profit	365,333	262,738
Operating expenses		
Dues and subscriptions	12,416	51,976
Bad debt expense	(4,274)	-
Interest and bank charges	2,992	3,923
Office expenses	458	398
Professional fees	6,856	5,823
Salaries and wages (Note 4)	168,660	115,715
Total operating expenses	187,108	177,835
Income from operations	178,225	84,903
Non operating income and expenses		
Income before income taxes	178,225	84,903
Income taxes		
Current income taxes	47,239	22,500
Income before extraordinary items	130,986	62,403
Net income	\$ 130,986	\$ 62,403

The accompanying notes are an integral part of these financial statements.

Mindteck Canada, Inc.

Statement of Retained Earnings

For the Year Ended March 31, 2022

	2022	2021
Retained earnings (deficit) - beginning	\$ 102,554	\$ 40,152
Net income	130,988	62,403
Retained earnings (deficit)	\$ 233,542	\$ 102,554

The accompanying notes are an integral part of these financial statements.

Mindteck Canada, Inc.

Statement of Cash Flows

For the Year Ended March 31, 2022

(Unaudited – see Compilation Engagement Report)

	2022	2021
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net income (loss) for the period	\$ 130,987	\$ 62,403
(Increase) decrease in receivables	112,316	36,559
(Increase) decrease in sales tax receivable	4,077	(6,707)
Increase (decrease) in prepaid expense and other assets	(90,716)	(43,707)
Increase (decrease) in accounts payable and accrued expenses	(34,507)	20,385
Increase (decrease) in due to related parties	(12,573)	31,874
Increase (decrease) in accrued taxes payable	16,715	(15,240)
TOTAL CASH FLOWS FROM OPERATING ACTIVITIES	126,299	85,567
CASH FLOWS FROM INVESTING ACTIVITIES:		
CASH FLOWS FROM FINANCING ACTIVITIES:		
OTHER ACTIVITIES:		
Net cash increase (decreases) in cash and cash equivalents	126,299	85,567
Cash and cash equivalents at beginning of period	271,343	185,776
Cash and cash equivalents at end of period	\$ 397,642	\$ 271,343

The accompanying notes are an integral part of these financial statements.

Mindteck Canada, Inc.

Notes to Financial Statements

For the Year Ended March 31, 2022

(Unaudited – see Compilation Engagement Report)

1. Basis of Accounting

The basis of accounting applied in the preparation of the financial information is on the historical cost basis, reflecting cash transactions with the addition of:

- certain accounts receivable net of any allowance for doubtful accounts
- unbilled revenue (see note 2 below)
- certain prepaid expenses where the company has not yet obtained economic benefits from
- certain accounts payable and accrued liabilities
- current income taxes payable as at the reporting date

2. Unbilled Revenue

Revenue of \$161,409 that has been recognized by the company at March 31, 2022, representing billable services that have been provided as of year-end, but invoices have not yet been issued to the client(s) as of that date.

3. Accounts Payable & Accrued Liabilities

	<u>2022</u>	<u>2021</u>
Sundry Creditors-Vendors	159,370	239,960
Provision for Expenses	78,207	32,125
Total	237,577	272,085

4. Salaries and Wages

Salaries and Wages include allocation of personnel and administrative costs by the parent company Mindteck, Inc. in the amount of \$166,660 (2021 - \$102,986).

The accompanying notes are an integral part of these financial statements.